It refers to import restrictions on health and safety grounds. The countries that want to restrict import fix higher level of norms. The norms include, for example, the residue of pesticides in food products, level of germs etc.

e. Packaging Requirements

By fixing packaging requirements, high restriction is imposed on trade. The standards push up the cost of product. So the import comes down. Sometimes, the cost of packaging exceeds the cost of product because of higher packaging requirement.

Economic Integration

Economic integration refers to the cooperation that exists between countries in the trade and other economic front such as investment, monetary policy, etc. The level of integration varies between countries. On the basis of level of integration, there are various names for it. Though it is difficult to differentiate them, it is explained in the following passage.

Preferential Trade Agreement (PTA)

It is an agreement between two or more countries where the agreeing parties reduce the level of tariff imposed on traded goods among themselves. It is the first level of economic integration. The aim is to bring down the level of tariff and thereby increase the flow of trade. The parties to the agreement maintain their own tariff level with third parties.

Free Trade Agreement / Area (FTA)

Free trade agreement/area is an improved level of economic integration compared to preferential trade agreement. In this arrangement, the parties involved in the agreement abolish tariff on